

## Indirect Cost Rate Code - [2.5 Indirect Cost Rate FINAL.pdf](#)

The indirect cost (aka overhead) rate code entered will establish the indirect cost rate applied to expenses in Banner, and when applicable, will also set a waived overhead (aka indirect cost) rate used in Banner to document waived overhead used as cost share.

### Waived Overhead Definition

Waived overhead is any difference between what should have been collected when applying UI's approved negotiated rate vs what UI will be collected due to an approved reason.

### How to Determine the Indirect Cost Rate Code

1. First identify what indirect cost rate the sponsor will allow by reviewing the proposal and award document. Contact your supervisor if the awarded rate does not match the proposed rate (see proposed budget).
  - If the award indirect cost rate is a UI negotiated rate, use the indirect cost rate code found in the Rate Codes 21 Agreement Help tip
  - If the award indirect cost rate is not one of UI's negotiated rates, use the sponsor's rate as the code
  - If the sponsor doesn't allow indirect costs, leave the indirect cost rate code blank
  - *Note: Do not use a % sign in the code*
2. Check if waived overhead is being utilized as cost share. If this is the case the waived overhead cost share amount will be recorded in section 3.11.
  - Identify what UI negotiated rate should have been used prior to waived overhead being approved by reviewing the Rate Codes 21 Agreement Help tip. Base your negotiated rate selection on the Project Type (from section 2.3), whether the sponsor is industry or State of Idaho, and project location (from section 2.4).
  - Next, subtract the sponsor rate from the UI negotiated rate.
  - Then use the result as the rate code adding a "W" in front of the rate code. This will indicate that waived overhead is being used for cost share.

*Note: The dollar difference between what UI's negotiated rate would have produced in indirect costs and what the sponsor rate will produce in indirect costs is what should be entered in section 2.6. See section 2.6 Help tip for specific instructions.*

3. Use Banner table **FRVINDR** to verify that the rate code you are planning to enter for this section currently exists in Banner. Contact your supervisor if a new rate code needs to be created.

*Note: Rate descriptions created in FRVINDR should follow this format: "XX% allowed XX% waived"*

### Rate Code Examples

#### Scenario A: Sponsor does not allow indirect costs and the waived overhead will not be used as cost share

- Sponsor does not allow indirect costs
- Rate code: leave indirect cost rate code section blank
- Result: Banner will not charge indirect cost on expenses and the waived overhead will not be used as cost share
- The indirect cost amount that would have been charged when UI's negotiated rate is applied should be entered into section 2.6

#### Scenario B: Sponsor allows an 8% indirect cost rate and the waived overhead will not be used as cost share

- Sponsor allows 8%
- Rate code: "8"
- Result: Banner will charge 8% indirect costs on expenses and the waived overhead will not be used as cost share
- Section 2.6 Entry: The dollar difference between what UI's negotiated rate would have produced in indirect costs and what the sponsor's 8% rate will produce in indirect costs

#### Scenario C: Sponsor allows an 8% indirect cost rate and waived overhead will be used as cost share

- Project has a 38% UI negotiated rate
- Sponsor allows 8%
- The 30% (38%-8%) waived overhead will be used for cost share
- Indirect cost rate code based on available code in FRVINDR: "W30B" (FRVINDR description reads, 8% allowed - 30% waived)
- Result: Banner will charge 8% indirect costs on expenses; 30% indirect costs will be recorded as waived overhead and used as cost share
- Section 2.6 Entry: The dollar difference between UI's 38% would have produced in indirect costs and what the sponsor's 8% rate will produce in indirect costs